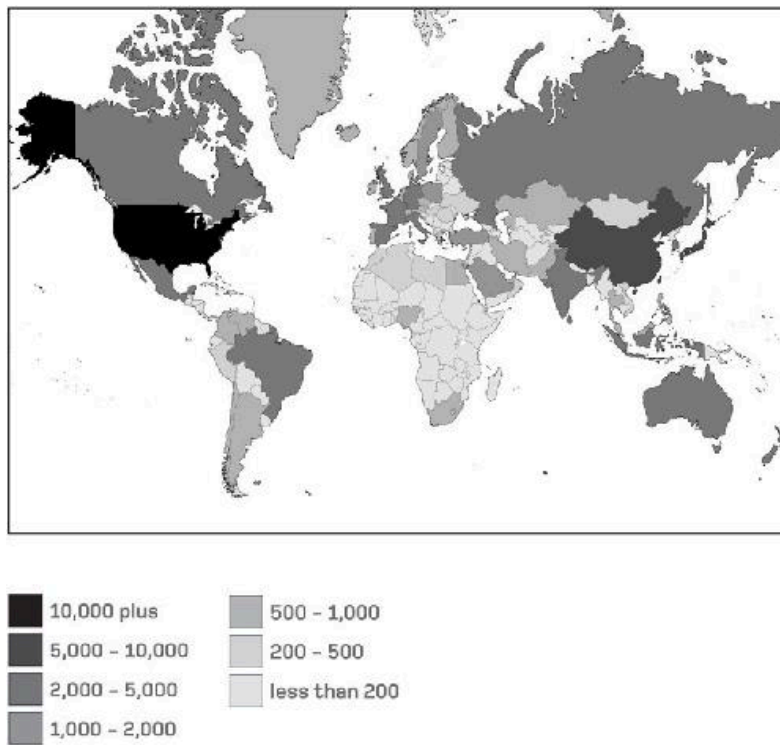


# GDP and its components



This map shows the nominal GDP of the world's nations in billions of US\$.

Gross Domestic Product (GDP) is a key measure of a nation's income. It is the value of all goods and services produced in a country over a period of time. A country with a large overall GDP might still be considered poor if its population is very large, so an important measure of living standards is GDP per person (GDP divided by population). This provides a very rough indication of the amount of goods and services consumed by individuals.

GDP can be divided into different kinds of spending, such as consumption, investment and the purchase of goods and services by the government. Because every purchase involves a buyer paying a seller, it can also be broken down into the different incomes that get paid when businesses produce goods and services – these include wages and profits. As well as

absolute and relative levels of GDP (between countries), economists are also concerned with the rate at which it grows, and hence how quickly living standards are rising.